

Fearnleys Dry Bulk Weekly

Dec 10, 2025

Capesize/Newcastlemax

The Jan/Feb low season is approaching, so the spot market will continue falling in the coming weeks. We think a Q1 average similar to 2024 (24kpd) is more likely than 2023 (9kpd) or 2025 (13kpd).

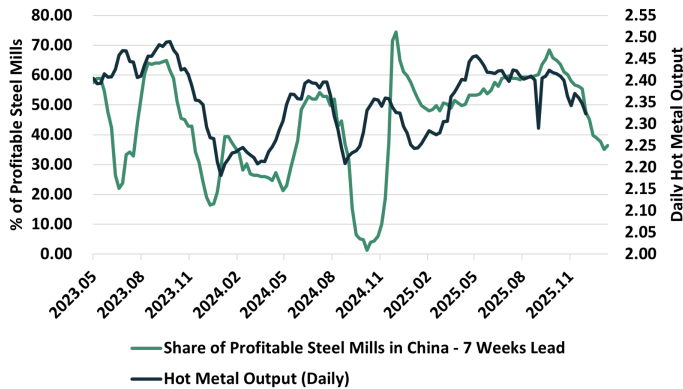
Top left chart: Hot metal output in China usually lags steel mill profitability by a few weeks. We pointed to this as a downside risk for the market, but falling output has been counteracted by inventory building. Output is suggested to continue falling in the coming weeks.

Top right chart: Higher backwardation = more urgency to buy, and vice versa. The iron ore futures curve suggested headwinds for Capes in Q4. Why these headwinds did not impact the market negatively is due to the mentioned inventory building, along with Bauxite and Coal volumes. The futures curve is now suggesting tailwinds for Capes in Q1, however, as it is suggesting iron ore consumption could rise again.

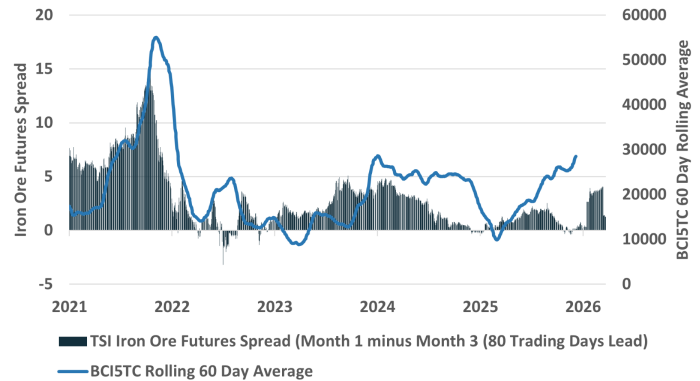
Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Bottom right chart: The iron ore spot price served as a very good leading indicator of the market direction for a few years - until the middle of this year. Why did the market rally this summer even as the iron ore spot price lead suggested it would continue to be weak? The futures curve lead was backwardated during the same period, along with a preference for higher grades of iron ore, supporting ton-miles.

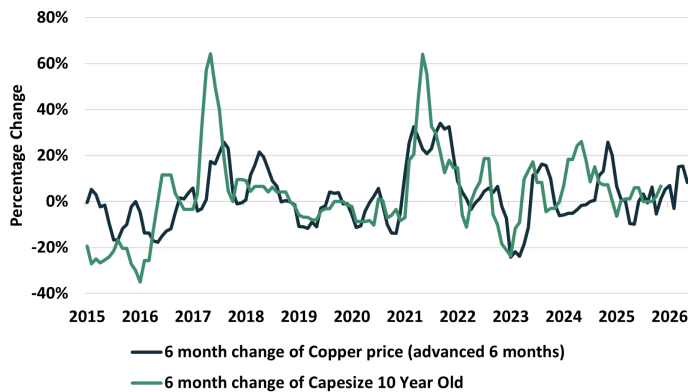
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



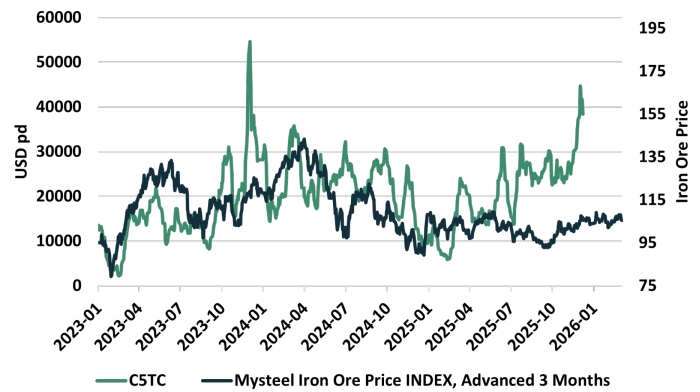
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Copper Price Lead vs Capesize 10-Year Old



Iron Ore Price - 3 Months Lead vs C5TC



Panamax/Kamsarmax

Indicators suggest the same as last week. Overall weaker market, with the North Atlantic performing relatively better than other routes.

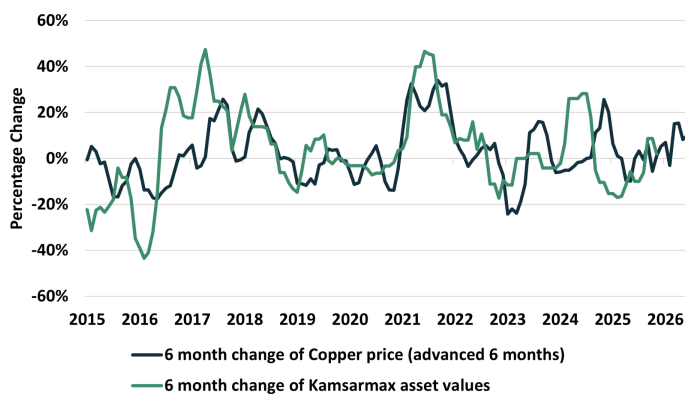
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: Our comment from last week applies this week as well: "We updated this indicator, so it includes a greater share of the coal futures curve (it's an average of various spreads like the 1-3 months etc). It usually leads the P5 market by a couple of months. It is now suggesting downtrend until new year, and then a January rally."

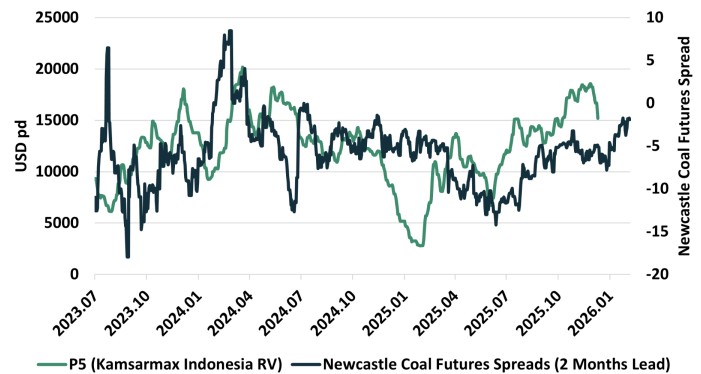
Bottom left chart: Last week we wrote: "Not a leading indicator, but tracking the number of vessels entering the North Atlantic minus the ones leaving the North Atlantic against the P1A spread over P5. The net change is positive, indicating firmer demand and the potential for an "outperformance" in the North Atlantic vs other basins. The surging Capesize market is an additional factor there, as cargo splits could lend extra support."

Bottom right chart: Last week's comment still applies "The indicator is made by subtracting the number of vessels able to make Santos within 10 days from the ones able to make Santos within 30 days. Hence, a higher reading reflects less vessel supply in the basin relative to other regions, and vice versa. The suggestion going forward is for a slight downtrend in P6."

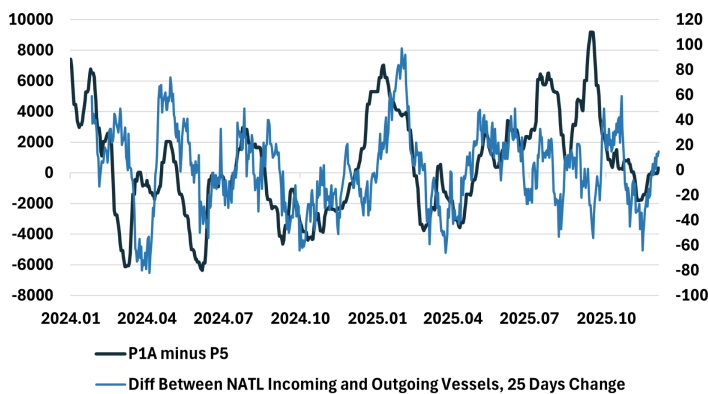
Copper Price Lead vs Kamsarmax 10 Year Old



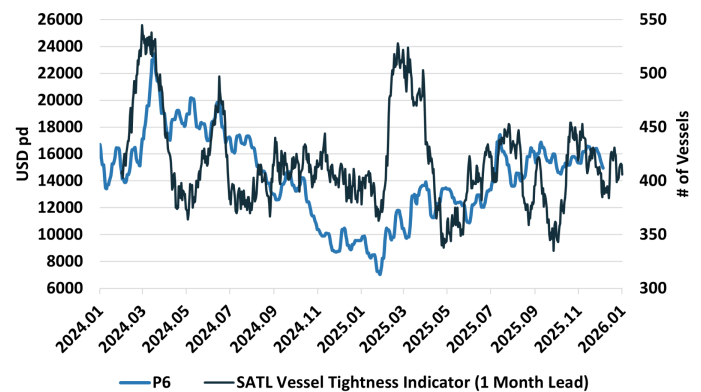
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

The price of copper, and industrial metals in general, serves as accurate barometers of global industrial activity. The below charts show a high degree of correlation between copper, industrial metals, and the Supra/Ultra market. The firm trend is suggested to continue, although there will of course be seasonal weakness in Jan/Feb.

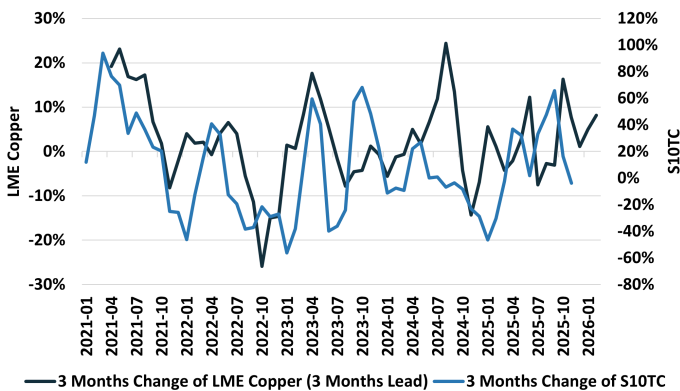
Top left chart: The three-month change of the price of copper, with the curve shifted forward three months, vs the three months change of S11TC. There will be some seasonal weakness in Jan/Feb related to CNY, but the copper price is suggesting positive momentum in Q1.

Top right chart: Same as with the top left chart, but here illustrated a bit differently, and against 1 year TC. Rising momentum suggested through Q1.

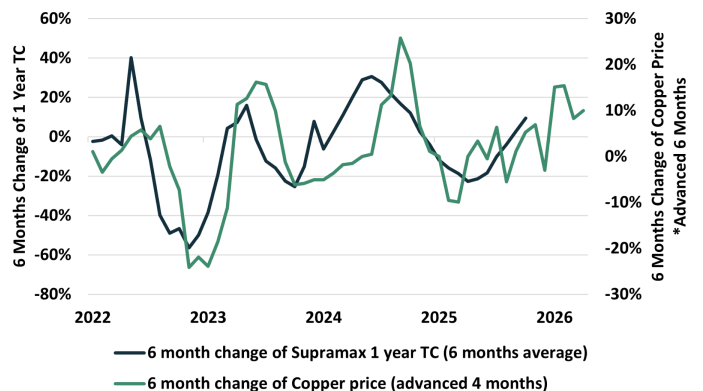
Bottom left chart: An industrial metals index including other metals as well, like Aluminium, Zinc and Nickel. This index is now at the highest level since Q2 2022. Will we therefore see the highest 1-year TC rates since Q2 2022 in the next months? It is a strong possibility.

Bottom right chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

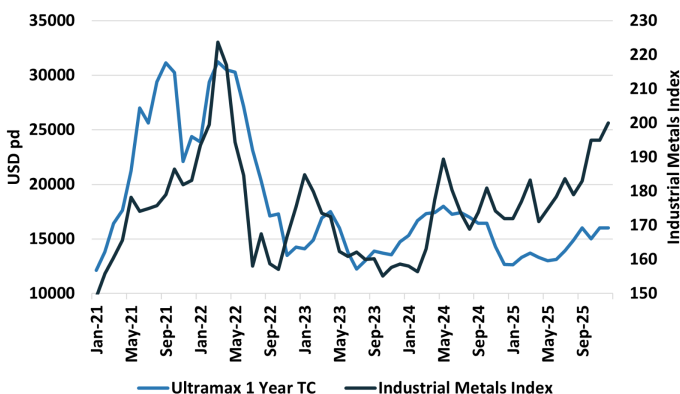
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



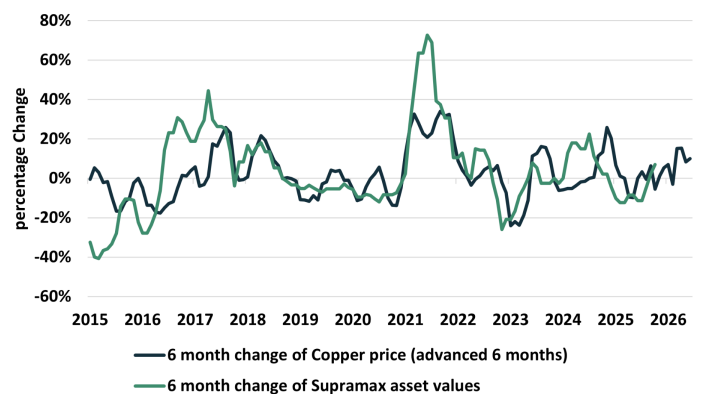
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Copper Price Lead vs Supramax 10-Year Old





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